(ii) No interest is chargeable on drawings made by the partner. Therefore, B need not pay interest on drawings.
(iii) Interest on loan is payable at 6% per annum. Therefore C is to get interest at 6% per annum on ₹ 10,000.
(iv) No remuneration is payable to any partner. Hence, D is not entitled to salary.
(v) Profits should be distributed equally.

3.5 Final accounts of partnership firms

The final accounts prepared by partnership firms are:

(a) Manufacturing account – if manufacturing activity is carried on

(b) Trading and profit and loss account – to ascertain profitability

(c) Profit and loss appropriation account – to show the disposal of profits and surplus

(d) Balance sheet – to ascertain the financial status.

The procedure for preparation of final accounts of a partnership firm is the same like sole proprietorship business except the following:

(i) In sole proprietorship, the profit or loss in the profit and loss account is transferred directly to the sole proprietor's capital account. In partnership, profit and loss appropriation account is prepared to which net profit or loss from profit and loss account is transferred. In the profit and loss appropriation account, adjustments for interest on capital, interest on drawings, salary and other remuneration due to the partners are shown. Finally, the balance in the appropriation account is transferred to the partners' capital account in the profit sharing ratio.
(ii) Capital account balance of the sole proprietor alone is shown in the balance sheet of sole proprietorship. The balance sheet of a partnership concern shows the balances in the individual capital accounts (and current accounts) of the partners.

3.6 Methods of maintaining capital accounts of partners

Amount invested by partners in the partnership business is called partners' capital. Capital may be contributed by a partner in cash or in the form of assets, etc. For each partner, a separate capital account is maintained. Capital accounts of partners of a firm may be maintained by following two methods: (i) Fixed capital method and (ii) Fluctuating capital method.

3.6.1 Fixed capital method

Under fixed capital method, the capital of the partners is not altered and it remains generally fixed. Two accounts are maintained for each partner namely (a) Capital account and (b) Current account. The transactions relating to initial capital introduced, additional capital introduced and capital permanently withdrawn are entered in the capital account and all other transactions are recorded in the current account.

12th-Accountancy-Unit-03.indd 85 12/9/2021 10:49:21 PM